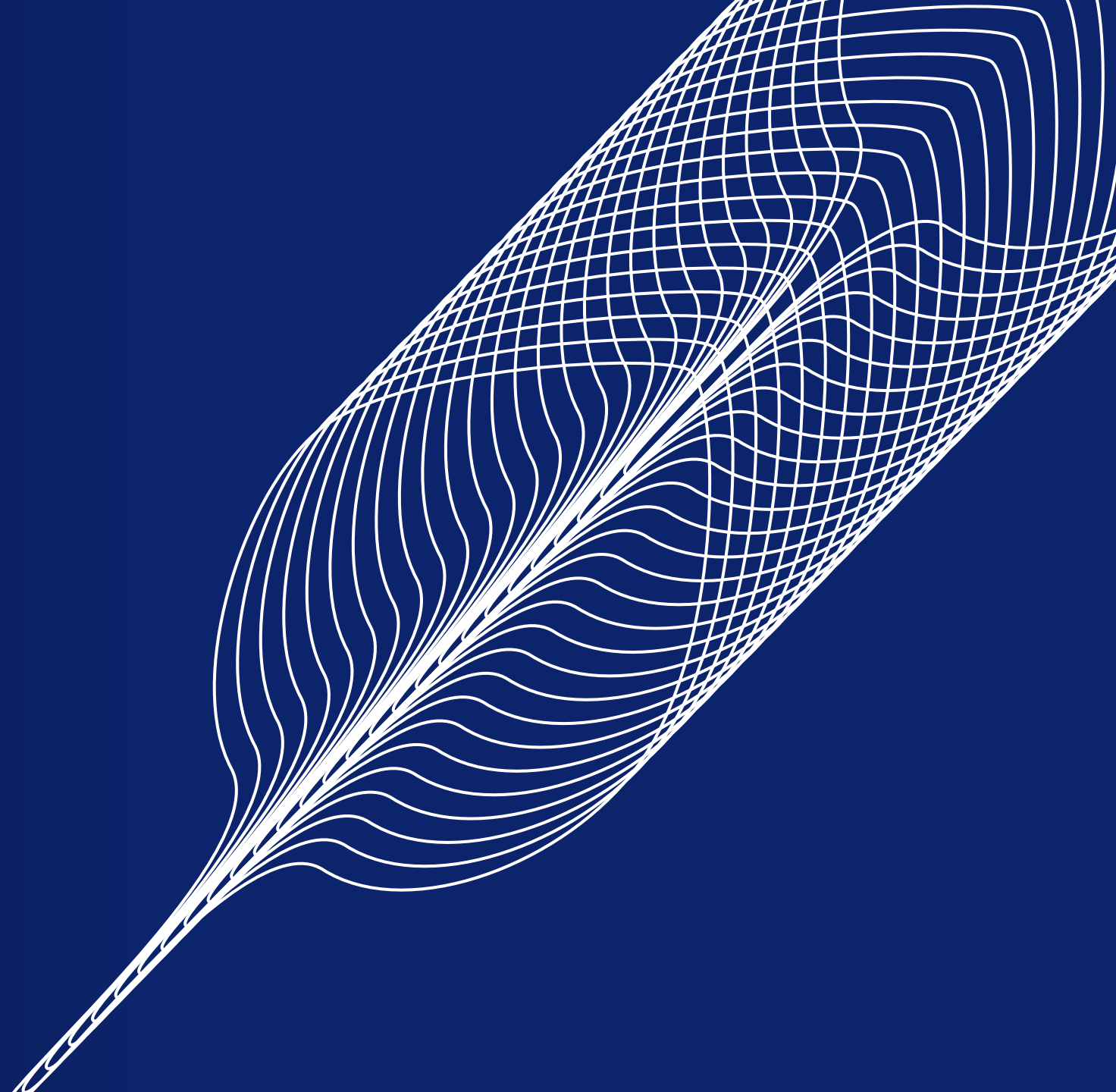
Hamilton
CONSULTING GROUP

Case Interview Crash Course

March 8th, 2026, 5:30 pm

KJ 127



External Business Decision Advisors

Consultants are external advisors helping organizations make high-stakes decisions under uncertainty

- Firms face ambiguous problems (declining margins, market entry, strategy)
- Consultants structure the problem and analyze options
- They deliver a clear recommendation with risks and implementation path

Management decides; consultants advise

Solving Defined Business Problems in Time

Projects are time-bound engagements solving a defined business problem

Typical engagement characteristics:

- Defined scope: clear problem and deliverables
- Timeline: weeks to months
- Small teams: 2-6 consultants
- Executive deliverables: recommendations presented to leadership

Common work types:

- Strategy (market entry, growth)
- Operations (pricing, cost reduction)
- Transformation (redesign, digital)
- Due Diligence (investment analysis)

Consulting: Structured Problem-solving

Diagnose

- Clarify the decision
- Define scope and success metrics

Analyze

- Break problem into MECE components
- Run targeted analysis

Recommend

- Take a clear position
- Quantify impact and risks
- Provide implementation roadmap

Three Traits That Thrive in Consulting

Structured Thinking	Entrepreneurial Drive	Client-Ready Communication
• Break ambiguity into components • Hypothesis-driven problem solving	• Ownership and initiative • Moves work forward independently	• Clear thinking and persuasion • Builds trust with executives

Liberal-arts advantage: novel thinking, broad intellectual background, creativity in problem solving

Breaking-in: Explore, Prepare, Convert

Explore

- Info sessions
- Alumni conversations
- Career center exposure

Prepare

- Case interview training
- Consulting clubs / client work
- Networking

Convert

- Referrals and applications
- Case interviews
- Recruiting cycles (junior summer internships, full-time offers)

Royal Cinemas (Stern)

Overview	Interviewer Notes
Entertainment *Market entry* *Revenue calculation* *Chart reading* *Breakeven calculation* *Creative brainstorming*	*Key case steps: evaluate luxury cinema market opportunities, breakeven calculation, discussion of entry strategy, recommendation (yes/no, risks, next steps).* *Exhibit 1: Show when the candidate asks about luxury market size/growth.* *Exhibit 2: Show when candidate asks about financial implications of entry into luxury market.*

Exhibit 1

Annual Revenue Trends, U.S. Cinemas (in $ millions)

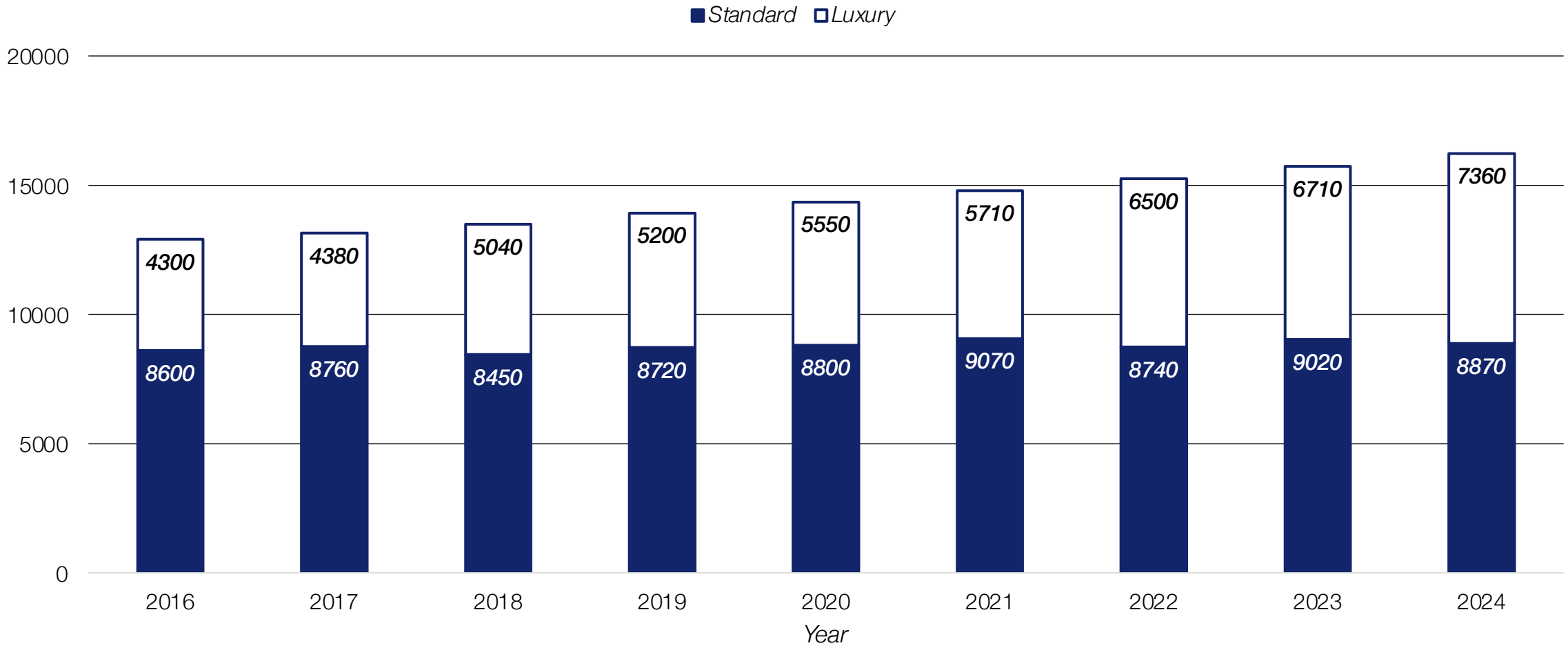


Exhibit 2

Standard vs Luxury State Cinemas

	Current "Standard" State	Luxury State
# of Theatre Locations	10	10
# of Screens/theatre	10	10
# of Seats/screen	150	65
# of Showings/week		
Peak	20	20
Off-Peak	40	40
Ticket Price	$10	$15
Avg Concession Spend/person	$10	$35
Capacity		
Peak	80%	90%
Off-Peak	20%	30%

Royal Cinemas

Prompt

Your client is Royal Cinemas, a NYC theatre chain. Their revenue has been badly hurt by decreasing ticket sales, which are at their lowest point since 1996 for both the chain and the industry at large. Royal Cinemas is interested in converting their theatres into luxury cinemas, should they do it?

Clarifying Information (provide if asked)

Timeframe: if they choose to enter the market, they intend to enter immediately.

Pricing: RC currently prices tickets and concessions the same as competitors.

Competitors: 5 major players in NYC.

Financials: Revenue has been steadily declining for 5 years.

Luxury Market Growth: Should candidate ask, tell them you do have this information, and would be glad to share after you see how they will approach the problem.

Locations: Currently 10 locations in NYC.

Other: They have not previously attempted to enter the luxury space.

What is a Luxury Cinema: Think recliners, order meals from your seat, drinks, etc.

Continue to next page once candidate states that they will take time to structure the problem.

Brainstorming

Possible Framework

Should Royal Cinemas convert their theatres into luxury cinemas?

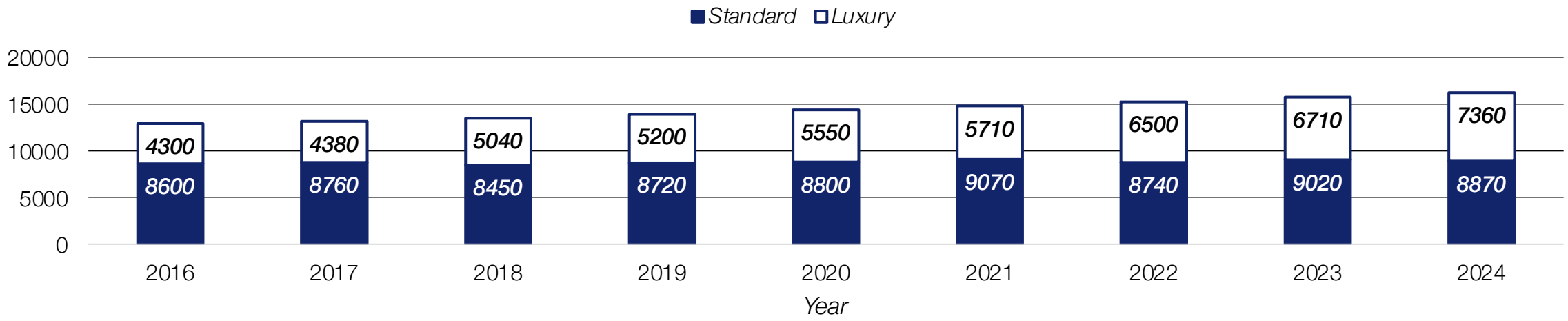
Financial Implications	Market Attractiveness	Competitive Analysis
Costs • Renovations • Shutdown costs if location not profitable • Equipment Revenue • Pricing (tickets, concessions) • Quantity (# of customers, # of purchases) Breakeven point	Growth & size of luxury market Consumers • Tastes/preferences • Same consumers as before or new segment?	Key players Market share Change over time Differentiating factors Competitor response to our entry

Moving Forward

The candidate should present a preliminary hypothesis about the problem. They should then ask about the market, which is presented on Exhibit 1

Question 1 – Present Exhibit 1

What does this exhibit tell you?



Insights

The goal of this exhibit is for the candidate to demonstrate their understanding of the general trend. An excellent candidate will quantify their response, but this is not necessary to move the case forward. Luxury theatres are seen here to gain market share as standard theatres lose market share. This should lead the candidate to infer that luxury market is a promising prospect. Excellent candidates should recognize that the U.S. market may not be representative of the NYC market.

Moving Forward

The candidate should express the significance of the trend, and how it adjusts their hypothesis. From there they should ask for any financial information on undergoing the transformation. If they do not do so, nudge them in that direction. Next page.

Question 2 – Expected Total Revenue Per State (Present Exhibit 2)

RC continues to explore luxury cinema. They created the following exhibit to detail the impacts of conversion, what can you make of it?

Additional information to help candidate: operational costs stay the same in either scenario, Population of the NYC metro area is 19.5M (not necessary for calculation) Exhibit 2 solutions are on the following page.

Notes to Interviewer

A good candidate will calculate expected revenue for current vs. luxury state, correctly identifying that the revenue potential for luxury cinemas supports the argument for entering this market. An **excellent** candidate may offer reasons why this is the case (increased "actual capacity" and higher prices appear to offset the decrease in number of seats per theater).

An excellent candidate might also reference some qualitative details, such as:

- Current ("Standard") State
    - Pros: Consumers are familiar with the existing brand and quality of cinema
    - Cons: Current state may not be a convincing enough draw with growing competition from streaming services, etc.
- Luxury State
    - Pros: Higher quality in viewing experience and concession offerings
    - Cons: Actual capacity projections are assumptions that are not yet proven - risk overstating opportunity.

Move onto question 3, following the solutions for question 2.

Exhibit 2 - Solution

Standard vs Luxury State Cinemas

	Current "Standard" State		Luxury State	
	Peak	Off-Peak	Peak	Off-Peak
# of Theatre Locations	10	10	10	10
X *(# of Screens/theatre)*	10	10	10	10
X *(# of Seats/screen)*	150	150	65	65
X *(# of Showings/week)*	20	40	20	40
X *(Ticket Price + Concessions)*	$20	$20	$50	$50
= Potential Revenue/week	$6,000,000	$12,000,000	$6,500,000	$13,000,000
X *(Theatre Capacity, avg % of seats filled)*	80%	20%	90%	30%
= Expected Revenue	$4,800,000	$2,400,000	$5,850,000	$3,900,000
Combined Weekly Revenue	$7,200,000		$9,750,000	

Question 3 – Payback Period

Royal Cinemas would like to know how long it will take to recoup their conversion/renovation costs.

Math Solution

Payback period

100M / (9.75M x 0.5) = 20.51 weeks or ~5 months

Good interviewee should

- Calculate payback period.
- Note that payback period is quite short—candidate may question whether this time frame is too good to be realistic.

Great interviewee will

- Discuss potential reasons that this payback period may be too optimistic

Additional Notes:

- Assume RC has sufficient financing to invest the $100M
- Candidate may ask whether the theatre will need to be closed for the renovations, because that would be additional revenue loss. Interviewer can share that this will not have meaningful impact on financials.

Information (provide if asked)

Initial conversion/renovation costs: $100M

Projected Luxury weekly variable costs: 50% of weekly revenue (~5M for interviewer reference)

Calculated from Exhibit 2

Projected Luxury revenue per week: $9.75M

Question 4 – Brainstorming

RC is aware that it will need to compete with other successful luxury cinemas in NYC. It would like your help to brainstorm ways to differentiate itself in this space

Notes and Possible Ideas

There are many directions that candidates could take. The goal of this question is to see how creative and specific they can be while remaining structured in their thinking.

Possible examples (push candidate to reach every bucket)

Concessions

- Partnership with well-known food market or restaurant? Celebrity chef?
- In-theater wait service (consider food/drink minimum to ensure revenue captured from concessions) or digital ordering from seat.
- Full bar with signature cocktails? Best in class wine bar.

Environment

- Premium, comfortable seating. Luxurious, clean restrooms
- Work café with WiFi outside theater (gets people to hang out + spend money)

Added content

- Regular talk backs with film crew or special film shorts before each film. Documentaries.
- Stream major sporting events, video game competitions, host film festivals indoors, movie premieres, sports betting

Other

- Partnerships: luxury hotel chains, gyms, lean into the “Royal” experience, red carpet—make theaters a destination
- Individualize each theater

Recommendation

The CEO of Royal Cinemas is about to walk in the room, what are you going to tell them?

Synthesis

Recommendation

Royal Cinemas should proceed with plans to convert their non-luxury cinemas into luxury cinemas for reasons such as:

- Luxury cinema market is projected to steadily increase.
- Luxury cinemas would result in higher revenues without significant increases to variable costs.
- There is plentiful opportunity for Royal Cinemas to differentiate itself in the space.

Risks

- Competition with other NYC luxury cinemas, and the cannibalization associated with a classic theater experience. Further, the new threat of streaming services and the slow return to theaters following Covid.
- Hits to revenue due to closed cinemas/screens for renovations.
- Actual capacity projections are assumptions, if they are incorrect revenue increases may be overblown.
- Reliance on concessions for revenue: consider minimum spend/purchase?
- Brand confusion if they keep some regular cinemas and some convert to luxury.

Next Steps

- Ensure the organizational structure is sound and that RC is well equipped for the venture.
- Devise marketing strategy to attract luxury consumers and maintain loyal customers.
- Evaluate cost-effective and on-brand partnerships for concessions, etc.